Beat the $1.1M Average: The 2026 Local Buyer's Edge

Page 1 · The 'Stay in Hawaiʻi' Financial Playbook

Hi, I'm Evan Tom — a **Coldwell Banker Realty** *agent born and raised on Oʻahu. My goal is simple: help local families stay rooted on the island they call home. Here's what you need to know to make that happen in 2026.*

For most Oʻahu residents, the biggest hurdle isn't wanting to buy — it's the down payment. In 2026, the State has doubled down on programs to keep Kamaʻāina on-island.

The Hale Kamaʻāina Mortgage (HHFDC)

2026 Update: Rates as low as 5.40% — well below the national average.

Cash at Closing Bonus: As of February 2026, the first 35 buyers in each cycle receive $3,000 toward closing costs and reserves.

Down Payment Assistance (DPA): Up to 4% of the purchase price as a second mortgage at only 1% simple interest. Stay 10 years and the interest may be forgiven.

Oʻahu Limits: Purchase prices capped at $809k (regular) and up to $989k in designated Targeted Areas.

More Inventory for Local Residents: The 'Bill 41' Shift

Honolulu's 90-day minimum stay rule for short-term rentals is bringing more condotel units in Waikīkī and Ala Moana back to the market — units that can now become real homes for local residents.

- **Where to look:** Buildings like The Island Colony or Luana Waikiki are seeing prices soften. These can make ideal starter homes or long-term rentals for local families who want to stay in town.

The Skyline Effect & The Rise of New O‘ahu

Page 2 · The 2026 Growth Map — Where to Buy Now

O‘ahu is physically changing in 2026. If you aren't buying in these corridors, you may be missing the next wave of appreciation.

The 'Skyline' (Rail) Wealth Corridor

Segment 2 is Live: Rail now connects East Kapolei all the way to Middle Street/Kalihi, including Airport and Pearl Harbor stops.

The TOD Secret: Transit-Oriented Development zones near Pearl Highlands and Aloha Stadium stations allow for higher density. An older single-family home in these zones carries significant land value for future development — potentially your long-term retirement plan.

New Construction: Ho‘opili vs. Koa Ridge

Ho‘opili (Ewa)	Koa Ridge (Central)
Best for: Rail Commuters	Best for: Multi-Gen Families
Townhomes from the high $600ks	Single-family from $1.1M+
Great rail access, walkable amenities	Larger floor plans, 'Mililani 2.0' feel

The 'CPR' Lot Hack

Can't afford $1.5M in Kaimukī? Look for **Condo Property Regimes (CPR)**. You get a detached, modern home on a shared lot for roughly 20% less than a traditional fee-simple house. It's the #1 way local families are staying in town.

Don't Get Hit with the 'Investor Tax'

Many local homeowners are overpaying by thousands simply because they haven't filed the right paperwork. Here's how to protect what you've built.

The Homeowner Exemption — Your $120,000 Discount

If you live in your home, you receive **$120,000 knocked off your assessed value** ($160,000 if you're 65+).

Crucial Deadline: File by **September 30, 2026** for it to take effect in the next tax year.

Beware the 'Residential A' Rate

If your Oʻahu home is valued at **$1M+** and you don't have a homeowner exemption on file, your tax rate jumps from $3.50 to $11.40 per $1,000 on anything over $1M.

The Math: On a $1.2M home, failing to file your exemption can cost you over $7,000 extra per year.

The 2026 'Circuit Breaker' Credit

If your property tax exceeds 3% of your household income, you may be eligible for a tax credit. This is vital for local families whose home values have skyrocketed while their paychecks stayed the same.

Eligibility rules vary by household. Please consult a qualified tax professional to confirm your situation before applying.

Your Next Steps

1. Audit Your Tax Status — Check your December 2025 assessment notice. If it says 'Residential A,' call me today.

2. Get Hale Pre-Approved — I have a list of 12 local lenders (ASB, CPB, and more) authorized for the 5.40% rate.

3. Get the Off-Market List — Contact Evan@EvanTomHawaii.com or call (808) 722-8665 to see homes not listed on Zillow.

Ready to Find Your Home on O‘ahu?

Page 4 · Connect with Evan Tom

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